



TRADING — THE HOW

How to Buy Stocks

One topic at three depths: open an account and buy, understand what your order actually does, then read a stock's whole page like you own it.



What's new with your money?

1

Anything new you did with money this week?

2

Something interesting you learned about money or finance?

3

A new investment you're looking at or like right now?

This week: show of hands — who has actually placed a stock trade? Who has an account but never traded? Who has neither?



One topic, three levels

L1 Open an account & buy your first stock

[start here](#)

12 min

L2 Know what you're actually doing when you trade

13 min

L3 Read a Yahoo Finance page like you own the stock

15 min

Level 1

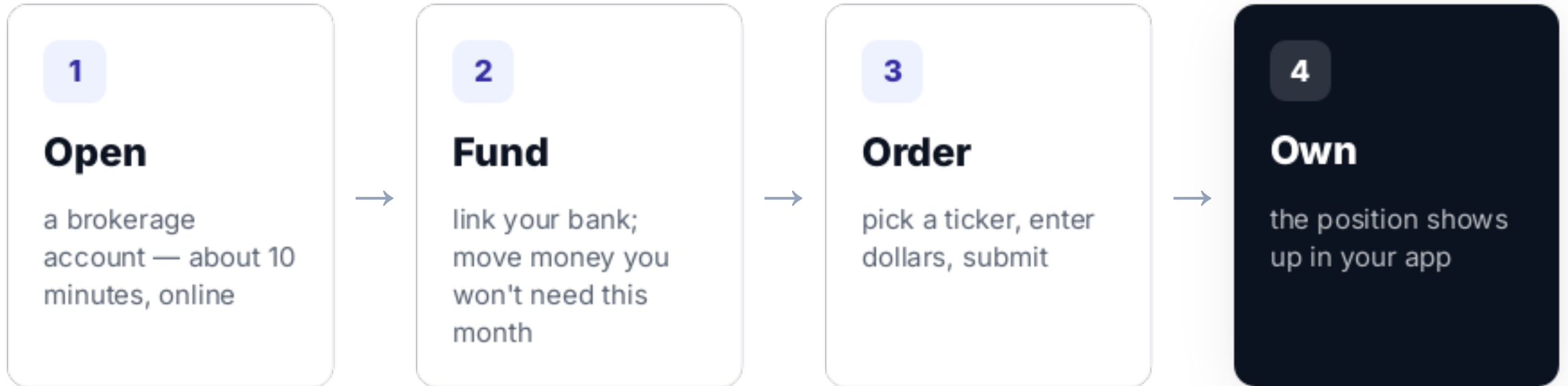
Open an account & buy your first stock

Audience: \$0 invested, no account. The goal — you could do this tonight.

12 min



Four steps: Open → Fund → Order → Own



~15 minutes start to finish

\$1 fractional-share minimum

\$0 commissions, every major broker



Robinhood vs. Fidelity

Robinhood

optimizes for starting

- Fastest zero-to-first-trade; app-first
- \$0 to open · \$1 fractional minimum
- Idle cash: 3.35% APY — only with Gold (\$5/mo)
- Instant buying power up to \$1,000 (\$5k w/ Gold)
- Sells order flow (PFOF); FIFO tax lots only
- 1% match on IRA contributions (3% w/ Gold)

Fidelity

optimizes for staying

- Full-service; you'll never outgrow it
- \$0 to open · \$1 'Stocks by the Slice'
- Idle cash: 3.30% automatically (SPAXX sweep)
- Up to \$25,000 same-day on ACH before 4 p.m. ET
- No PFOF on stocks; full specific-ID lots
- Strong IRA platform; no contribution match

Robinhood optimizes for starting, Fidelity for staying — either is fine. Schwab and Vanguard are also excellent, and everything transfers. The expensive choice is opening neither.



What you need, and why they ask

Same requirements at both apps — the teacher demos the real app on screen.

- What you need: 18+, an SSN, a US address, and answers to employment / income / net-worth questions.
- Why they ask: federal law (USA PATRIOT Act) and FINRA know-your-customer rules — every broker asks; it's not them being nosy.
- Pick the account type at signup: 'Individual brokerage' is the default taxable account.
 - If this is retirement money, see the Roth beat next — before you click.
- Fund it: link your bank, transfer what you won't need this month; note the availability difference from the table.



The order ticket, annotated

NVDA
NVIDIA Corp

\$196.93

Dollars

Shares

Amount

\$50.00

Order type
Market ▼

Est. quantity
0.254 sh

Review order

- 1 Ticker**
The symbol — NVDA. Price is live.
- 2 Dollars vs. shares**
Enter \$50; the app buys the fraction.
- 3 Order type**
Market or Limit — that's all you need tonight.
- 4 Review**
 $\$50 \text{ at } \$196.93 = 0.254 \text{ shares. Confirm.}$



Same ticket, two smart defaults

Start with an index ETF

the 'own everything' core

- A broad S&P 500 fund — VOO, IVV, or SPY
- Bought through the exact same order ticket
- ~90% of pro stock-pickers trail it over 20 yrs
- Individual stocks go on top of this core

Retirement money? Use a Roth IRA

same apps, different wrapper

- Trades inside are never taxed
- Contributions (2026 limit \$7,500) withdrawable anytime
- Earnings tax-free after age 59½
- A ~10–12% bracket buys 'never taxed again' cheaply

Same 10 minutes, same order ticket — the wrapper is the only difference. Robinhood adds a 1% match on IRA contributions.

Level 2

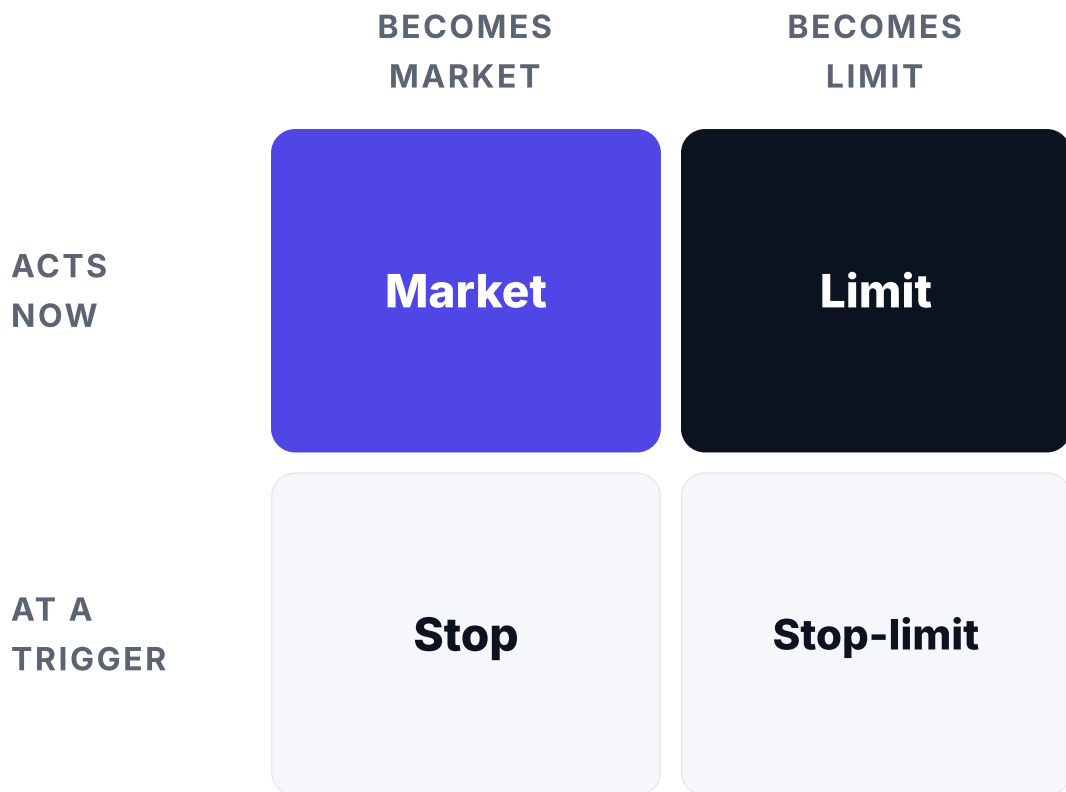
Know what you're actually doing when you trade

The same buy button — but now you can see the machinery behind it.

13 min



Every order is two independent switches



Market	Bite: no price guarantee in a thin or fast market.
Limit	Bite: may never fill — the stock runs without you.
Stop	Promises an exit , not a price. Bite: gaps.
Stop-limit	Promises a price , not an exit. Bite: no fill at all.
Trailing	Ratchets behind a rising price. Bite: volatility shakes you out.

Time-in-force: **Day** (dies at 4 p.m.) vs. **GTC** — good-till-canceled, broker-capped (~180 days).



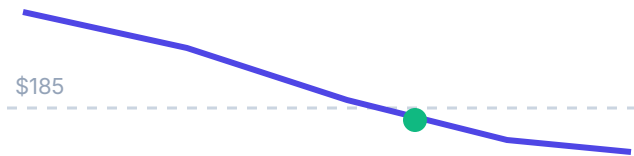
Same "\$185" intention, three outcomes

GOTCHA 0

A plain **sell limit at \$185** fills **immediately at ~\$197** — "\$185 or better," and \$197 is better. A limit order cannot protect your downside.

Scenario A · Slow slide

\$197 → \$186 → \$184 over weeks

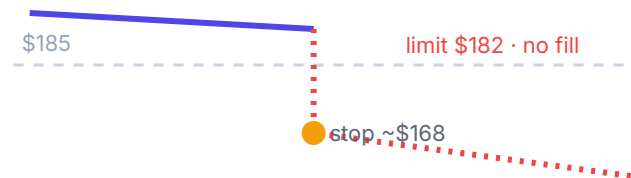


Stop \$185 → fills ~\$184.90 ✓

Stop-limit \$185/\$182 → fills ~\$184.90 ✓

Scenario B · Earnings gap

closes \$195, opens **\$168**, slides to \$150



Stop \$185 → market at open ~\$168 (\$17 below)

Stop-limit \$185/\$182 → **no fill**, rides to \$150

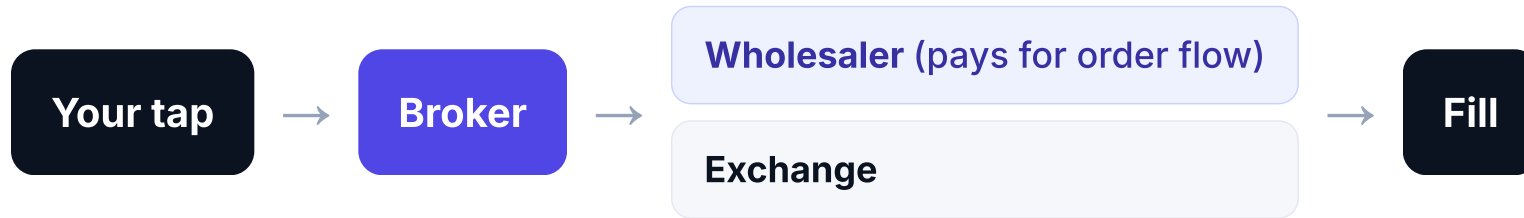
Choosing

Fear being stuck in a collapse → **Stop** (guaranteed exit, unknown price).

Fear selling a spike-down bottom → **Stop-limit** (guaranteed floor, maybe no exit).



Your tap, the spread, and who gets paid



THE LEVEL-1 QUOTE (NVDA, AFTER HOURS)

196.05 bid ×3000

spread = a cost you pay

197.29 ask ×200

NBBO · National Best Bid & Offer

The highest bid and lowest ask across all exchanges. Brokers must fill you at the NBBO or better (Reg NMS).

Spreads by liquidity

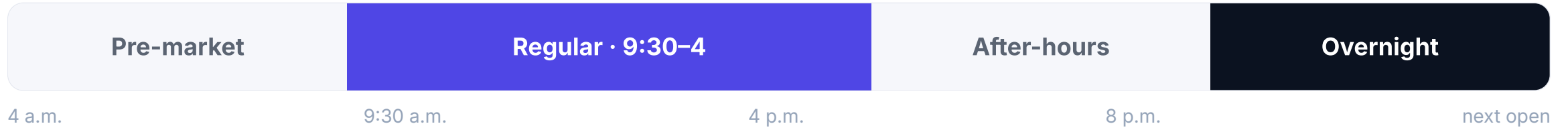
Large caps $\leq 0.15\%$; small caps $5\%+$
— why market orders are fine in megacaps, risky in small names.

Payment for order flow

Wholesalers pay Robinhood to route orders — that funds \$0 commissions.
Fidelity takes none on stocks.



The trading day is being rebuilt



Fidelity

7–9:28 a.m. & 4–8 p.m.

Robinhood

4–9:30 a.m. & 4–8 p.m. + a 24-Hour Market (Sun–Fri, whole-share limits only)

LAUNCHING DEC 6, 2026

SEC approved Nasdaq's **23-hour day** and a consolidated tape running **Sun 9 p.m. → Fri 8 p.m.**
The clock itself is changing.



The pattern day trader rule: 2001 → 2026

2001

"You need \$25,000 to day-trade."

A FINRA margin rule from the dot-com bust. 4+ day trades in 5 business days → tagged a pattern day trader → hold **\$25k minimum equity** or get frozen out.



repealed
Jun 4, 2026

2026

"You need margin that matches your intraday risk."

New **intraday margin standards** tie required equity to your real-time exposure — regulate the leverage, not the person.

Why everyone hated it: the \$25k never adjusted for inflation in 25 years, and it gated by wealth, not risk.

Two caveats: brokers phase in through Oct 2027 (your app may still enforce limits); the repeal removed a guardrail, not the odds.



Settlement, cash vs. margin

- T+1: trades settle the next business day (since May 28, 2024). Sell Monday → withdrawable cash Tuesday.
- Cash account (the default): you trade settled money.
 - Spend unsettled proceeds then sell that = a good-faith violation; 3 in 12 months → settled-cash-only for 90 days.
- Margin account: the broker lends up to 50% (Reg T; \$2,000 minimum equity).
 - For this class: know it exists, skip the leverage.



Four dates, one habit: own it before the ex-date



LIVE EXAMPLE · KO

\$0.53/share, paid Jul 1, 2026 — Coca-Cola's **64th** straight annual raise.

DRIP

One toggle auto-reinvests dividends into fractional shares. Still taxable in a taxable account.



Two lanes, and a student superpower

Held $\leq$ 1 yr

taxed like **wages** — your ordinary income rate

Held $>$ 1 yr

long-term rates **0 / 15 / 20%**

THE STUDENT SUPERPOWER

2026 single filers pay **0% on long-term gains up to \$49,450** taxable (~\$65,550 gross after the standard deduction). Many of you can realize long-term gains **tax-free right now.**

Wash sale

Sell at a loss & rebuy within 30 days → loss disallowed. Rebuy in an IRA → loss gone *permanently*.

Pick your lots

Default FIFO. Fidelity lets you choose ("Specific Shares"); **Robinhood is FIFO-only.**

Paperwork does itself

Consolidated **1099-B** by ~Feb 15, pre-filled. Inside an IRA: none of this exists.

Level 3

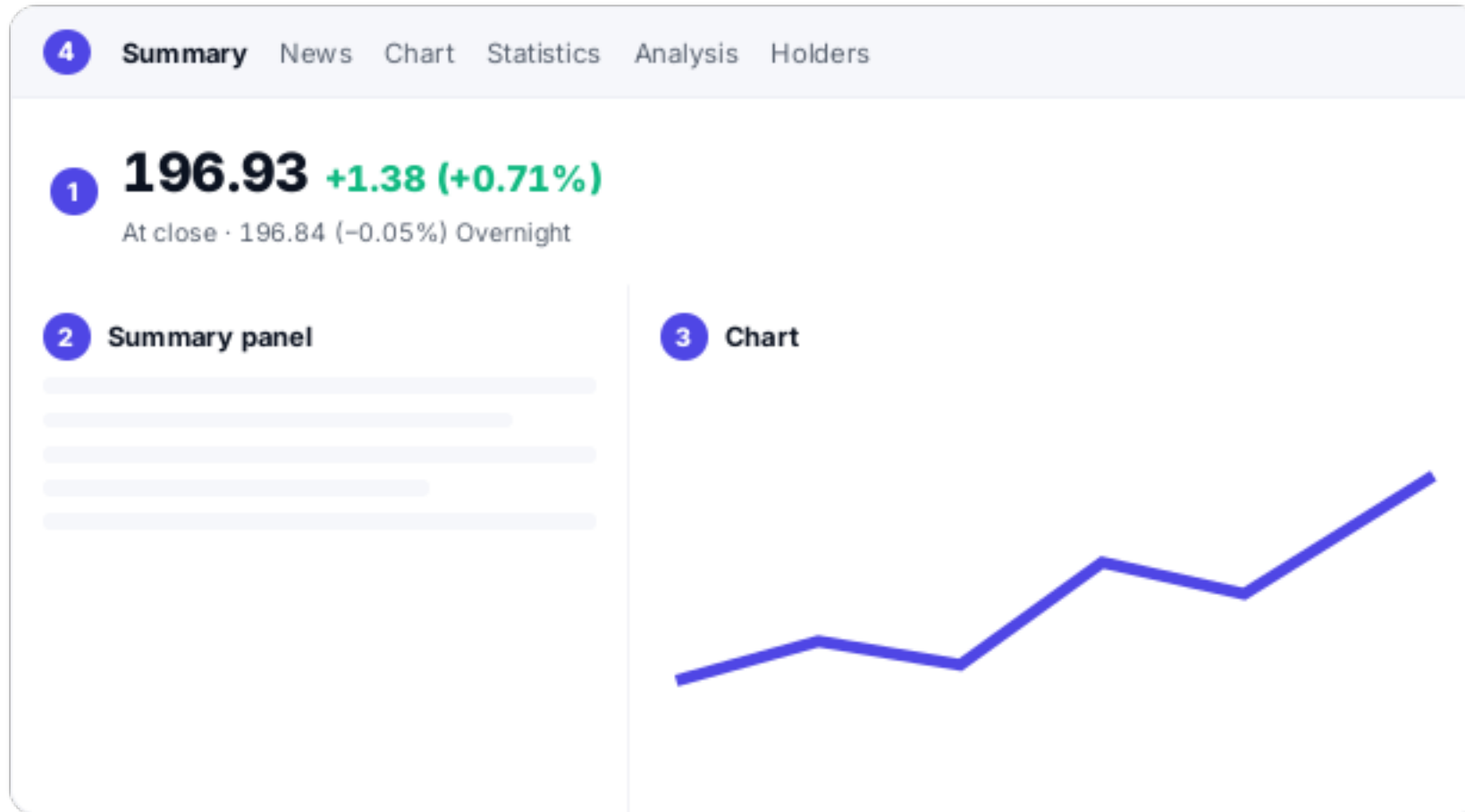
Read a Yahoo Finance page like you own the stock

A live walkthrough of finance.yahoo.com/quote/NVDA — everything here is on the free tier.

15 min



Four regions, one tab row



- 1 **Price header** — today's move + overnight
- 2 **Summary panel** — 16 fields, next slide
- 3 **Chart** — range buttons + compare
- 4 **Tab row** — most of it is free



The 16-field panel, in plain English

PREV CLOSE / OPEN 195.55 / 192.37	Opened below prev close, recovered — gaps are normal.	BID / ASK 196.05 / 197.29	Level 2's spread, live — pennies during the session.
DAY / 52-WK RANGE 191-198 / 158-237	A year of context in one line; price sits mid-range.	VOLUME / AVG 122.6M / 158.8M	~77% of normal = nothing special happened.
MARKET CAP 4.77T	Why "\$197, that's cheap!" is meaningless.	BETA (5Y) 2.21	Moves ~2× the market — size positions for it.
P/E / EPS (TTM) 30.16 / 6.53	Price ÷ trailing earnings — the week-2 multiple.	EARNINGS DATE Aug 26, 2026	The next scheduled volatility event — check first.
1Y TARGET EST 301.62	Average analyst target — sentiment, not prophecy.	FWD DIV & EX-DATE → next slide	The two dividend fields, decoded in full.



Forward Dividend & Yield

$$\begin{array}{ccccccc} \$0.25 & \times 4 \rightarrow & \$1.00 & \div \text{price} \rightarrow & \$196.93 & = & \text{0.51\%} \\ \text{quarterly} & & \text{annualized} & & \text{today} & & \$1,000 \rightarrow \sim \$5/\text{yr} \end{array}$$

"Forward" means "assumed"

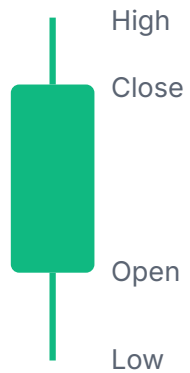
A projection that the current rate holds — inferred, not promised. Compare KO: $\$0.53 \times 4 = \$2.12 \approx \mathbf{2.6\% \text{ yield}}$, five times NVDA's. KO returns cash via dividends; NVDA mostly via buybacks.

The board sets the dividend; the market sets the yield

Price falls 30% with the payout unchanged → yield jumps ~43%. A strikingly **high yield is often a warning, not a gift** — the market pricing in a cut.



Three skills in three minutes



closed do

Range buttons · 1D → 5Y → Max

Same stock, different stories. Zoom out before you react.

Line vs. candles

One candle = open, high, low, close. Green closed above open.

Compare

Overlay SPY — are you actually beating "just the index"?



The dense tabs, decoded

Valuation

week-2 concepts, auto-computed

- P/E — what you pay per \$1 of profit (30.2 vs ~19.8 fwd)
- PEG — P/E adjusted for growth; under ~1 is cheap-for-growth
- EV/EBITDA — a debt-neutral profit multiple
- Price/Sales — works when profits are zero

Financial health

the dashboard

- ROE — profit per shareholder dollar (quality marker)
- Debt/Equity — the leverage dial (>100% = more borrowed than owned)
- Current Ratio — can it pay this year's bills? (>1 = yes)
- Levered FCF — what's left after the business & the bank

Ownership

who owns it, who's short

- Float — what's actually tradable; small float = bigger moves
- Institutions ≈ 69% · Insiders ≈ 4%
- Short % of float 1.29% — nobody's fighting it
- Payout Ratio — dividends ÷ profit; 80%+ = cut risk

Financials = the three statements (week-2 red flags). Analysis = estimate revisions + the target's high/low/mean spread. Options = its own future class.



The 10-minute pre-trade check

- 1 **Summary panel** — spread sane? volume normal? earnings imminent?
- 2 **Chart, 1Y + 5Y** — where in the 52-week range am I buying? vs. SPY?
- 3 **Statistics** — multiple vs. its own history; short interest crowded?
- 4 **Analysis** — are estimates being revised up or down?
- 5 **News** — anything from the last 48 hours I'm about to learn the hard way?
- 6 **Place the order** — a limit, sized so $\beta \times \text{position}$ doesn't ruin your week.



The SpaceX IPO: retail's biggest front-row seat ever

The largest IPO ever priced at a fixed \$135 and sold directly to retail through five apps — then handed the room a month of Level 2 and 3 in one stock.

\$135

fixed IPO price (~\$75B raise)

▲ ~\$15B

to retail — ~20% of the deal

▲ +19%

day-one close, \$160.95

CNBC · Bloomberg · Vanda · Citadel Securities



Retail vs. institutional — you're in this story

Retail

your own money

- An individual investing through a brokerage account
- Everyone who did Level 1 tonight
- ~20–25% of US equity volume (spiked ~35% Apr 2025)
- ~6 in 10 US adults own stock (Gallup)

Institutional

other people's pooled money

- Funds, pensions, endowments — trading at scale
- Historically first in line for IPO allocations
- The 'accredited investor' gate (~\$200k income / \$1M net worth)
- ...kept SpaceX legally off-limits to the public for 24 years

Retail isn't a sideshow — it's a market force. The IPO was the first day the public could own SpaceX at all.



What a normal IPO looks like

Banks underwrite → S-1 filed → ~2-week roadshow → bookbuilding → priced the night before → allocated → first trade at the opening auction.

- Offer-price shares go historically ~90% institutions / 10% retail — and even that 10% is gated.
- The pop: US IPOs average +19% on day one (1980–2025); 2025 averaged +29% and left \$13.1B 'on the table.'
- Allocated buyers pay the offer price; everyone else pays the pop.
 - Circle priced \$31 → closed \$83 (+168%); Figma priced \$33 → closed \$115.50 (+250%).



What SpaceX did differently

Typical
IPO

90% institutions · 10% retail

SPCX

~70% inst · ~20% retail · ~10% hedge

Largest IPO ever — fixed **\$135** (~\$75B raise), sold directly to retail through **five apps**: Robinhood, Fidelity, Schwab, SoFi, E*TRADE.

Retail targeted ~30%, cut to **~20% (~\$15B)** — still about **double** the historical norm.

The mechanics = Level 1's ticket: a **conditional offer to buy** (activates when the deal prices). Allocation was a **lottery** — requesting more didn't improve your odds.



A month of Level 2 and 3 in one stock



DAY ONE · JUN 12

\$160.95 +19%

Near the long-run average pop — a record retail net-buying day.

EUPHORIA

\$225.64

Briefly the 4th most valuable company on Earth — above Amazon and Microsoft.

GRAVITY

-\$600B

A three-day ~23% slide on a \$25B bond sale and unlock fears.

JUL 7

\$149.47 -6.8%

Joined the Nasdaq-100 yet still fell as the quiet period expired.



Same company, three very different trades

Allocated at the offer

Conditional offer through the app, at \$135

+10.7%

Bought the open, day one

Market order at ~\$150

-0.4%

Chased the peak, week two

Market order at ~\$225

-34%

One company, one month — the **how** and **when** of the purchase spans a **45-point** return spread. Access, order type, and timing are not details.

Talk it through

- 1 Everyone got at least one share, but 17-of-1,000 was typical. Genuine access, or marketing with a guaranteed audience?
- 2 Is there anything fair or unfair here? What would you change?
- 3 Analyst targets on the same stock ran \$131 to \$800. What does that do to your trust in the '1y Target Est'?
- 4 Knowing everything above — would you have requested shares? Would you buy today?

Sources



Compound Money Talk

BROKERS & MECHANICS

Robinhood — fractional shares, cash rates, IPO Access, Rule 606

Fidelity — accounts, Stocks by the Slice, cash mgmt, cost basis

FINRA — extended hours; PDT repeal (Notice 26-10)

investor.gov / SEC — order types, T+1, stop-orders bulletin

TAX & DIVIDENDS

IRS — Topic 409, Pub 550, Pub 590-B, Rev. Proc. 2025-32

IRS — Rev. Rul. 2008-5 (wash sale)

DTCC — T+1 dividend processing

The Coca-Cola Company — Investor Relations

MARKETS & THE IPO

Yahoo Finance — live NVDA quote page

Ritter / U. Florida — IPO underpricing dataset

CNBC · Bloomberg · Reuters · Vanda · MEMX · JPMorgan

SIP / Nasdaq — extended-hours SEC approval